

SUPPLEMENTARY SHEET 6

TRADE ROUND 2



G1 ROUND 2



Green beads are still worth \$20 Million each.

You will sell 2 green beads to each LDC.

The price of red beads has dropped to \$2 Million because of a drop in demand.

You will buy 10 red beads from each LDC.

None of this is negotiable. Your country sets the prices and the amounts traded.

Return to your desk with your trading partner after trading is completed and rework the education and health budgets with the money now available. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent.

G2 ROUND 2



Green beads are still worth \$20 Million each.

You will sell 2 green beads to each LDC.

The price of red beads has dropped to \$2 Million because of a drop in demand.

You will buy 10 red beads from each LDC. None of this is negotiable. Your country sets the prices and the amounts traded.

Return to your desk with your trading partner after trading is completed and rework the education and health budgets with the money now available. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent.

G3 ROUND 2



Green beads are still worth \$20 Million each.

You will sell 2 green beads to each LDC.

The price of red beads has dropped to \$2 Million because of a drop in demand. You prefer red beads from LDC 4 and 5 because you have heard that other LDCs are using oppressive labour standards.

Therefore, you will buy 20 red beads from LDC 4 and 5 and only 5 from other LDCs.

None of this is negotiable. Your country sets the prices and the amounts traded.

Return to your desk with your trading partner after trading is completed and rework the education and health budgets with the money now available. Remember, you must have a minimum of \$100 Million for health and education. Take the money spent for health and education your local banker who will keep the money and record it as spent.

ALL LDCS ROUND 2



You are trying to sell red beads to countries.

You want to sell 10 red beads to the G Countries.

You need to buy 2 green beads from each G country.

Each green bead costs \$20 Million. Return to your desk with your trading partner after trading is completed and rework the education and health budgets with the money now available. Remember, you must have a minimum of \$100 Million for health and education. You will have to borrow from the WB/IMF if you do not have enough. Take the money spent for health and education your local banker who will keep the money and record it as spent.

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Photocopy
enough
LDC cards
for each
LDC

WORLD TRADE
ORGANIZATION



ROUND 2

You have received an anonymous report from a country that states that G3 and LDC 4 and 5 are breaking these rules. Find out what rule they broke by observing the trading. When the countries have returned to their tables, you will approach them and fine them each \$5 Million.

WORLD BANK



IMF



ROUND 2

While the LDC Countries are filling out their budget forms for round 2, visit them and demand payment on the loan they have taken out. Explain that interest rates have risen to ten percent. (so they either owe you \$2.5 or \$5 million in interest).

Offer them another loan. They may borrow \$25 Million or \$50 Million. If they don't take any loan, they will lose all credit worthiness and receive no more investment from any of the G Countries.

The condition of the loan is that only one-quarter of it should be spent on Education and Health Budgets. The rest must be invested in producing more of the country's main commodity that can be traded (represented by the red beads for LDCs).

Keep a record of the loans you make, the interest charged and the sum owed.